Economics - K-12 Level Assessment 2 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Potential GDP will fall ceteris paribus if
   (a) the unemployment rate rises.
   (b) the retirement age is lowered.
   (c) tariffs protecting domestic jobs are eliminated.
   (d) more immigration is allowed.

2. In the short run, the shut down price is equal to
   (a) minimum point on average total cost.
   (b) maximum point on average total cost.
   (c) minimum point on average variable cost.
   (d) maximum point on average variable cost.

3. "Flash" estimates of GDP
   (a) are subject to revision.
   (b) do not require revision.
   (c) are available after a thirty-day lag.
   (d) both (A) and (C)

4. Households demand more money as an asset when
   (a) nominal GDP falls.
   (b) the nominal interest rate falls.
   (c) bond prices fall.
   (d) the supply of money falls.

5. A dark room technician who develops film into photographs loses his job because few people use film cameras any more. This is an example of which of the following?
   (a) Frictional unemployment
   (b) Structural unemployment
   (c) Cyclical unemployment
   (d) Seasonal unemployment

True / False (10 marks)

Answer True or False

6. True or False: Crowding out is relatively greater when the investment demand curve is elastic du
7. True or False: In an open economy, expansionary monetary policy is less effective because it ca
8. True or False: An increase in demand for dollars and a decrease in supply will cause the dollar to
9. True or False: The spending multiplier effect is diminished when the price level rises due to an in
10. True or False: A central bank must hold a specific percentage of its assets in cash reserves at all

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how an increase in the marginal propensity to consume affects the spending multiplier in an economy, and analyze the implications of this relationship on economic growth.
12. Discuss the impact of technological advancements, such as self-serve checkout stations, on employment. How does this scenario illustrate structural unemployment?

End of Paper